FINANCIAL INNOVATION

IMPLICATIONS FOR PAYMENTS AND POLICY

FEDERAL RESERVE BANK OF KANSAS CITY
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FEDERAL RESERVE BANK OF KANSAS CITY

Discussion of

Stablecoin Risk

A paper by

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Outline

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2. What the Paper Does
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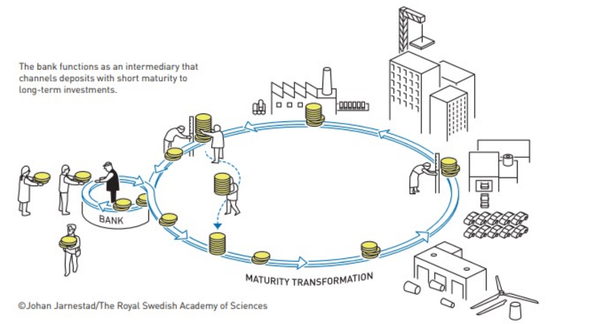
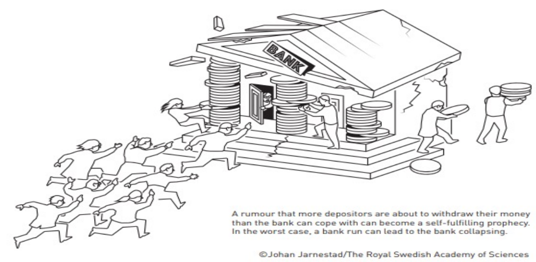
1. Overview of Banks and Stablecoins

The Roles of Traditional Banks

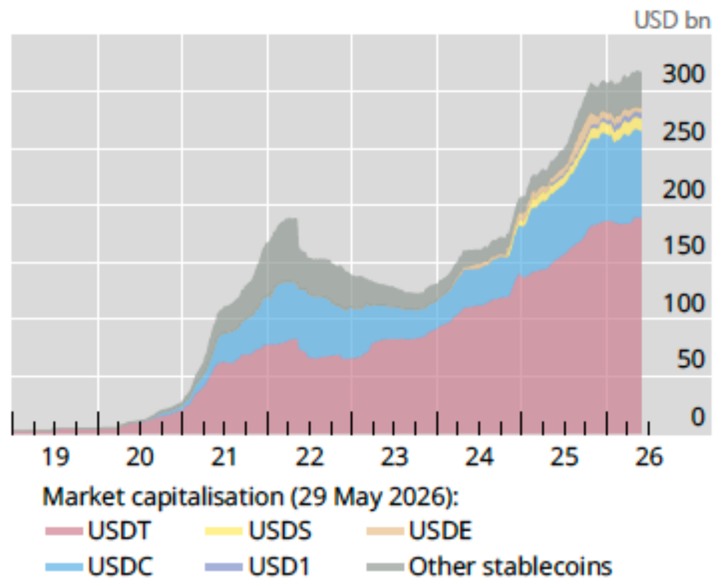
- Traditional banks perform the following key roles in the economy:
  - Credit provision
  - Money creation
  - Liquidity transformation
- This business model is also prone to fragility:
  - Liquidity mismatch renders banks fragile as they are vulnerable to panic-based runs
  - Depositors rush to withdraw deposits expecting that others will do so





The Rise of Stablecoin

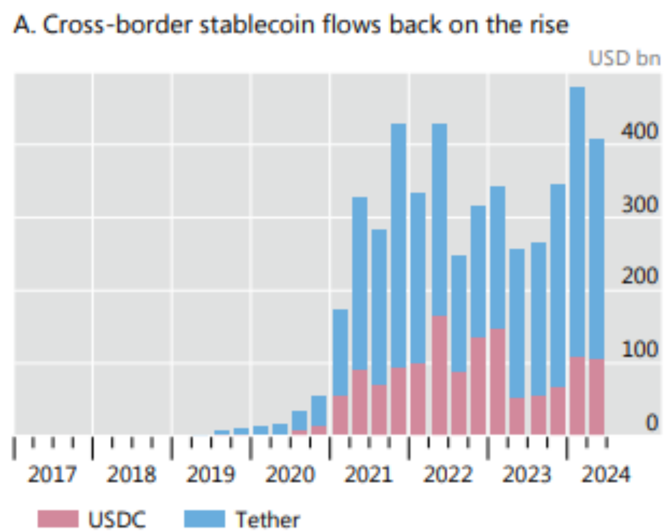
- Stablecoins are the leading application in the world of digital currencies
  - These are cryptocurrencies designed to maintain a peg to fiat-currencies
- The leading stablecoins – USDT (Tether) and USDC (USD Coin)– are backed mostly by traditional liquid and safe assets, albeit USDC to a greater extent than USDT
- Being a new form of payment, stablecoins may compete with banks
- They have risen a lot in recent years, yet the overall use remains fairly modest



Source: BIS, Annual Report (2026)

Stablecoins' Potential Benefits

- The push for using stablecoins as a new form of money builds on the premise of a better technology:
  - Faster and cheaper payments, which is particularly appealing in the case of cross-border payments
  - Programmability can allow for smart contracts, enabling conditional payments
- Yet there are challenges of achieving these benefits in the current financial system
  - Current uses of stablecoins are predominantly in crypto trading
- Where do we go from here? Will stablecoins take over? What will be the implications?

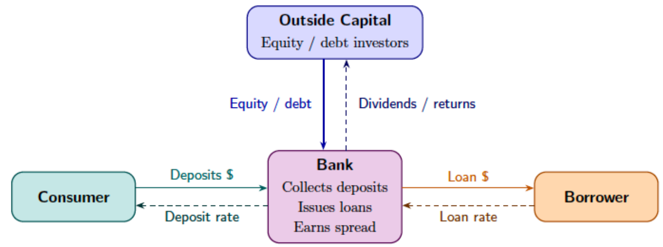


Source: BIS, Annual Report (2025)

2. What the Paper Does

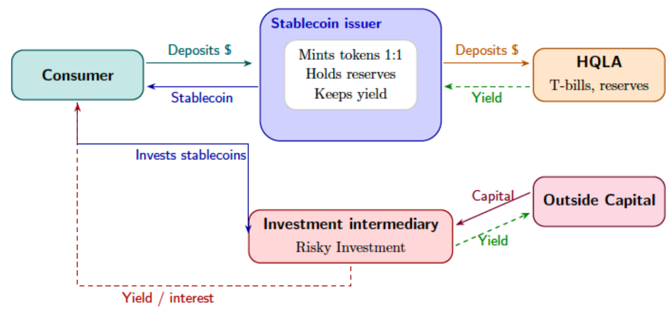
A New Financial Architecture

- The paper suggests that if stablecoins have a superior technology, then eventually we will move to a new financial system:
  - Banks will be replaced by stablecoin issuers and non-bank financial intermediaries (NBFIs)
  - Payment function will move from bank deposits to stablecoins
  - Credit provision function will move from banks to NBFIs
  - The two functions will be separated
  - There is no liquidity transformation
- In a world without frictions, this will not have an effect on credit
  - Modigliani-Miller type of argument



The figure depicts a stylized economy in which funding is intermediated by a bank. The bank collects deposits and potentially raises outside capital. It identifies projects and makes loans to borrowers. This schema could also be consistent with bank creation of inside money as banks can diversify liquidity risk across consumers.

Figure 1: **Real Investment intermediated through a bank**



The figure depicts a stylized economy featuring stablecoins and NBFIs. Consumers deposit dollars into the stablecoin issuer which holds HQLA. Instead of holding tokens passively and not earning yield, consumers can deposit unused tokens into the investment intermediary which invests in risky projects. The investment intermediary can also raise outside capital.

Figure 2: **Real Investment in a stablecoin economy**

Information Friction: Key Premise and Implications

- Suppose that real investment returns can be high, medium, or low with probabilities p_h, p_m, p_l, respectively
- The paper posits that
  - Banks make decisions based on p_l
    - This information is available to them from payment account history
  - NBFIs make decisions based on p_h
    - Without payment account history, there is greater incentive to produce upside information
- Key implications are that the types of real investments that are advanced forward will change
  - In particular, there will be more variance under NBFIs than under banks
  - NBFIs' projects will tend to have higher p_h and p_l; lower p_m
  - This can be considered higher risk coming from the introduction of stablecoins
- This is a nice insight!

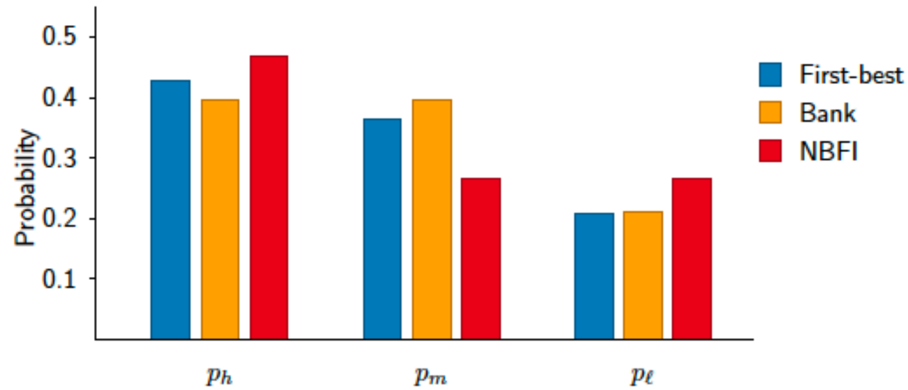


Figure 6: **Probability distributions across financing regimes**

3. Four Comments

Comment 1: The Response of Banks and Tokenized Deposits

- The paper starts by saying:
  - "*…we take the perspective that, in the long-run, if stablecoins prove more efficient as a means of payment, the economy could move to a stablecoin intermediated system…*"
- It is not clear what is the source of efficiency that banks cannot adopt so that they can compete with stablecoins
  - Tokenized deposits can bring some of the technological advantages of stablecoins to the traditional banking system
  - Indeed, banks are starting to explore the concept and experiment with implementation: "*JPMorgan, Citi and Big Banks Plan New Tokenized Deposit System to Answer Crypto*" (WSJ, 6/4/26)
  - There are of course many unknowns: interoperability, CBDC, etc.
- What kind of equilibrium should we expect?
  - Banks and stablecoins coexist? Banks maintain dominance?
  - Maybe digital currencies were just a catalyst for banks to adopt new technologies?

Comment 2: Market-Based Intermediaries and Liquidity Transformation

- In the paper, stablecoins only play a role of bringing up the market-based intermediary system, with NBFIs replacing banks
- But, in reality, we already have a flourishing ecosystem with NBFIs, even though stablecoins so far play a minimal role in payments
- Do we see some of the predictions already materializing?
- Hard to tell about real investment…
  - Certainly, worth a careful empirical examination
  - I can foresee many empirical challenges
- On one issue, however, I think there is a difference between the model and how things played out with NBFIs
  - In the model, the separation of payments from credit provision implies that there is no liquidity transformation
  - Liquidity transformation is a key element of banking
  - In the market, I believe, based on research, that we see NBFIs move in the direction of banks and offer liquidity transformation with all the implications for fragility
  - This implies that NBFIs have more resemblance with banks than the framework suggests; maybe the demand for liquidity transformation is too strong to ignore

Comment 3: Financial Technology and Information

- It would be nice to deepen the motivation for the information structure assumed in the paper and the difference between an NBFI-intermediated economy relative to a bank-intermediated economy
- One of the distinct features of Financial Technology (FinTech) is the abundance of data with many new data sources and many new types of data available to investors
  - Consider all the high frequency information available now about firm performance, sales, customer traffic, etc.
  - Why would we expect that the data that was traditionally available to banks will just disappear following the advancement of financial technology?
- Information sources in the paper are exogenously given with no consideration of incentives for information production, but these can have significant impact
  - Do banks have downside information solely because of the nature of interaction with the customers or because of the lending contract?
  - Wouldn't other intermediaries have similar incentives for information production with similar financial contracts?

Comment 4: What about the Other Risks of Stablecoins?

- There are many other risks of stablecoins discussed in academic/industry/policy circles:
  - Creating potential for runs if there are doubts about the peg
  - Impairing the singleness of money
  - Disintermediating banks in a way that can reduce credit to the economy
  - Facilitating illicit finance because of the way blockchains operate
- The authors are aware of these but put them aside, saying:
  - *"…Central to these discussions about stablecoins is the perspective that the current bank-intermediated system is economically efficient in the long run: Stablecoins providing an imperfect substitute for bank deposits disrupt the extant system…"*
- I don't think anyone will argue that the current bank-intermediated system is efficient; it has advantages and disadvantages
- The question is how we can make it better, with or without stablecoins
- Certainly, all these other risks will play a role in such discussion, and we should think which ones are more important to focus on

4. Conclusions

Conclusions

- Stablecoins emerge as a leading application of Fintech with potential to be used as money crowding out the banking system
- They present technological benefits that can help overcome frictions in the payment system
- They are growing in volume but their use is still limited
- The paper offers a very nice analysis on how stablecoin-intermediated systems will differ from bank-intermediated systems based on one informational change
- I encourage the authors to think more about:
    - What would be the response of banks and the role of tokenized deposits?
    - What can we learn from market-based intermediaries and their liquidity transformation?
    - What information structure would emerge in the era of FinTech?
    - What are the implications of the other risks of stablecoins that are often discussed?